WEEK 6 · LECTURE L3 · UNIT II

Course Correction After Go-Live

When to scale, fix, retrain or pause, and why projects that should stop keep going.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Match the post-launch response (scale, fix integration, retrain, pause) to the barrier the evidence shows.
- Explain why decision rules must be set before results arrive.
- Apply escalation of commitment, the sunk cost effect, stage-gate systems and real options reasoning.

COURSE OUTCOMES

CLO 2 (integration and adoption) and CLO 4 (evidence-based frameworks).

FOUR OPTIONS AFTER GO-LIVE

Choose the response that fits the evidence

Option	Choose it when
Scale	Use is high and problems are minor
Fix integration	Use is high, but data are re-keyed or duplicated
Retrain	People have access but lack know-how
Pause	Access or design blocks use entirely

EXAM LENS

Training does not fix access. Fixing access does not fix a bad process. Match the response to the barrier.

DECIDE IN ADVANCE

Set the scale, fix or stop rule before the pilot starts

The metric

One measure that shows success, such as weekly active use among frontline staff.

The threshold

The number that triggers each decision, written down before results arrive.

The owner

The person who must act on the result, with authority to stop.

Once money and reputations are invested, people defend the project instead of reading the data. A rule set in advance protects the decision.

THEORY IN DEPTH · STAW (1976)

We throw good money after bad

THE CORE IDEA

Escalation of commitment: people who made a failing decision invest more to justify it.

HOW IT WORKS

Personal responsibility for the original choice raises the urge to continue after bad news.

LIMITS AND CRITIQUE

Sometimes persistence is right; the problem is persistence that ignores evidence.

IN PRACTICE

The team that chose a tool is the team least able to see it failing; invite outside review.

EXAM LENS

Distinguish escalation (driven by self-justification) from the sunk cost effect (driven by past spending).

THEORY IN DEPTH · ARKES AND BLUMER (1985)

Sunk costs should not drive decisions

THE CORE IDEA

Money already spent cannot be recovered, yet people let it shape future choices.

HOW IT WORKS

Decisions should compare future costs and benefits only; past spending is irrelevant to what comes next.

LIMITS AND CRITIQUE

Sunk costs can carry information about commitment and reputation, so the rule is not absolute.

IN PRACTICE

Licenses already paid for an unused system are irrelevant; the only question is whether future spending on it is the best use of money.

EXAM LENS

Show the critique: the normative rule is clear, but organizational realities (reputation, contracts) complicate it.

THEORY IN DEPTH · COOPER (1990)

Stage-gate: decide at each gate whether to continue

THE CORE IDEA

Projects move through stages separated by gates where leaders decide go, kill, hold or recycle.

HOW IT WORKS

Each gate has criteria set in advance and a named decision owner.

LIMITS AND CRITIQUE

Too many gates can slow change and reward paperwork over learning.

IN PRACTICE

Treat each wave of adoption data as a gate, with go, fix or stop criteria written before the data arrive.

EXAM LENS

Stage-gate is the institutional answer to escalation: it pre-commits the decision criteria.

THEORY IN DEPTH · DIXIT AND PINDYCK (1994); MCGRATH (1999)

Small bets keep options open

THE CORE IDEA

Real options thinking: a pilot buys the right, but not the obligation, to scale later.

HOW IT WORKS

Spend a little to learn; scale only when evidence is good. Uncertainty makes the option more valuable.

LIMITS AND CRITIQUE

Options are hard to value precisely, and pilots can drag on without a decision.

IN PRACTICE

A vernacular WhatsApp leave flow piloted in a few frontline sites is a cheap option; a nationwide launch gives the option away.

EXAM LENS

McGrath reframes failure as the cost of learning; use this to argue for disciplined pilots.

COMPARE AND EVALUATE

Four lenses on continuing or stopping

Theory	Explains	Prescribes
Staw (1976)	Why failing projects continue	Outside review; separate decision from decision-maker
Arkes and Blumer (1985)	Why past spending distorts choice	Compare future costs and benefits only
Cooper (1990)	How to structure the decision	Gates with pre-set criteria and owners
Real options	Why small bets are valuable under uncertainty	Pilot, learn, then scale

PRACTICE FOR THE END-TERM EXAMINATION

Questions to rehearse

A large organization's new HR app shows high use among office staff and almost none among frontline staff six months after launch. Using course-correction options and decision theory, advise the CHRO. **20 marks**

A strong answer: matches responses to barriers; sets decision rules; applies escalation and sunk cost; recommends a staged, option-preserving path.

"Projects that should stop keep going." Explain why, and evaluate the safeguards organizations can use. **20 marks**

A strong answer: explains escalation and sunk cost; evaluates stage-gate and real options; notes their limits.

Distinguish escalation of commitment from the sunk cost effect. **10 marks**

A strong answer: gives the different mechanisms and an HR example of each.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. **Match the response to the barrier**
   Scale, fix, retrain or pause.

2. **Write decision rules before the results arrive**
   Pre-commitment protects the decision.

3. **A plan that never changes after evidence is a hope, not a plan**

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Revisit: Venkatesh et al. (2003) and Bondarouk et al. (2017), adoption sections.

COMPANION

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.

Arkes, H. R., & Blumer, C. (1985). The psychology of sunk cost. *Organizational Behavior and Human Decision Processes, 35*(1), 124–140. https://doi.org/10.1016/0749-5978(85)90049-4

Cooper, R. G. (1990). Stage-gate systems: A new tool for managing new products. *Business Horizons, 33*(3), 44–54. https://doi.org/10.1016/0007-6813(90)90040-i

Dixit, A. K., & Pindyck, R. S. (1994). *Investment under uncertainty*. Princeton University Press.

McGrath, R. G. (1999). Falling forward: Real options reasoning and entrepreneurial failure. *The Academy of Management Review, 24*(1), 13–30. https://doi.org/10.2307/259034

Staw, B. M. (1976). Knee-deep in the big muddy: A study of escalating commitment to a chosen course of action. *Organizational Behavior and Human Performance, 16*(1), 27–44. https://doi.org/10.1016/0030-5073(76)90005-2